Bada Business

An Initiative By Dr. Vivek Bindra

10 Day MBA

My Business Association

Day 10

Business Strategy & Execution

1. Understand Strategy & Execution

"No matter how great your idea is, if you can't execute it, you are not different from someone without an idea".

Idea=> Execution=> Result

- ✓ Failure to execute has seen Blackberry maker RIM lose 87% Market Value
- ✓ Failure to execute has seen Nokia lose 87% Market Value
- ✓ Strategy-makers spend more time in designing the content of strategies than thinking how to implement them, successfully

Why Managers are Good at Formulating Strategies but Poor at Executing Them?

1) Managers are Trained to Plan not Execute. => This thinking is Promoted by Business Educators
2) Top Executives Mistakenly think Strategy Execution is meant for those at the Lower End of the Organization
3) Chart
4) Purpose and benefits of Strategic Plans are not conveyed (or poorly conveyed) to employees, teams and frontline staff.
5) Chances are 40% of your Workforce can't articulate the details of the Firm's strategy.
6) Employee Resistance may stem from lack of understanding caused by failure of Top Management to articulate the Merits of Strategic Plans
7) Content of Marketing Plan, not Simplified for Easy Understanding

The Big Reasons why Companies Fail to Execute Strategy

- Lack of Strategic Focus
- Resistance to Change
- Poor Communication
- Staff Incentives Not Aligned with Strategy
- Management not Paying Attention
- No Cadence

2. Why Execution Breaks Down?

1- Top Priorities and Goals

Only 15 % actually identify goals=>

1) Either there are too many goals
2) They change too often
3) They simply don't have any
4) Even if they have, they are vastly under-communicated

Just because the leaders are clear about what they want to achieve, it does not necessarily mean that the frontline where the action really is, knows what the goals are. After all, the frontline produces the bottomline!

2. No Involvement = No Commitment

Only 19% Feel passionate about the goals i.e. 1 in 5!

1) People may know what the goals are but often, they haven't bought into them.
2) They feel no ownership for it.
   They don't feel they have input into what it is going to take to achieve the goal.
   They simply aren't emotionally connected.

3. Time Spent on Goals

1) 49% of the available work hours are spent on the most important goals.
2) The rest of the time is spent on urgent but far less important activities.
   They get distracted by urgent
3) things and neglect the most important.

4. Understanding ones own role

1) 51% don't understand what they are supposed to do to help the organization in achieving its goals.

Roots Of Execution Gap

Execution=>

1. Lack of Clarity
2. Lack of Commitment
3. No Translation to Action
4. Lack Of Required Training
5. Lack of Purposeful Collaboration
6. Lack of Accountability

3. Create a Purpose & Cause of Project

"Create a Cause, not a Business."

Control of Distractions will be a Byproduct...

No one in History has ever created History for a Salary Hike- Dr. Vivek Bindra

You get the Best Efforts from Others
not by Lightening Fire Beneath them
but by Building a Fire Within them
- Bob Nelson

"Create a Compelling Story to Excite your Team"

"Sharing the Story of the Strategy with Internal and External Audiences"

4. Identify your Money-Making Model

Translate your Strategy into Measurable Objectives

A laser is a weak source of energy...
but with a laser, you can drill a hole in a diamond or wipe out cancer.
When you create a laser sharp focus in your company, you create the same effect...

5. Work on the Leading Score

- ✓ Lack Of/Invalid Systems To Track & Measures
- ✓ The Performance Of Strategic Plans
- ✓ People Do Not Do What You Expect But What You Inspect
- ✓ Difference between - Leading Score & Lagging Score
- ✓ Difference between - Effort Score & Result Score

6. Create a Compelling Scoreboard

Human Beings Like Games, Make It A Winnable !

Create A Compelling Scoreboard

People play differently when they're keeping score. Scoreboard should reflect three things

- ✓ Where are we now?
- ✓ Where we want to be?
- ✓ When do we need to be there?

These three points should be communicated visually. It enables us to track progress and make corrective actions, if we get off-track.

Rules To Create A Compelling Score Board

- ✓ Simple
- ✓ Highly Visible
- ✓ Have The Right Lead And Lag Measure
- ✓ Immediately Tell If Winning Or Loosing

7. Why Right People Aren't at Right Jobs

Know your People and Business

Leaders may pick people with whom they are comfortable, rather than others who have better job skills

- ✓ The leaders may not have the courage to discriminate strong & weak performers and take the necessary actions
- ✓ In companies that don't execute, the leaders are usually out of touch with the day-to-day realities
- ✓ Identify the unique signature strengths of every team member
- ✓ Examine Their Signature Strengths To
- ✓ Ignite And Channel Creativity To Come Up With
- ✓ Innovative Decisions, Products And Services

The Millennium leaders Will Be Known :

- ✓ Less By The Goal They Set, And
- ✓ More By The Mindset They Build

Involvement Is Directly Proportionate To Commitment

Things Turn Out Best For The People...Who Make The Best Out Of The Way Things Turn Out

Process Of Execution

1) Identify "The Goal"
2) Work On Leading Score
3) Engaging Score Board
4) Reporting & Accountability

8. Skill Will Matrix & Reward System

Skill-Will Matrix

- ✓ Monkey
- ✓ Visionary
- ✓ Parasite
- ✓ Star Performer

Aligning The Reward and Recognition System With Strategy

The Greatest Management Principle in the World is "The Things that Get Rewarded and Appreciated Get Done'- Michael LeBouef -

9. Change Management

Creating a Culture of Execution through Change Management

Pygmalion Factor #1 – Climate

- The Kind of Social & Emotional Mood we Create for Others
- "When we expect more favorable things of people, we create a more positive interpersonal climate for them."-- Dr. Robert Rosenthal

Pygmalion Factor # 2– Feedback

- The Information we give others in Regard to their Performance
- "Managers give more positive reinforcement to high-expectation employees. They praise them more for good work and criticize them less for making mistakes. Consequently, their confidence grows" - Dr. Robert Rosenthal

The Negative Treatment Model

Assumptions About Capability of Employees + Negative Emotional Reactions To Differences=>Negative Treatment

- Eroded Confidence
- Low Morale
- Lack of Initiative => Diminished contribution to the Goal

The Positive Treatment Model

Belief in the Capability of the Employees + Openness and Respect for Diversity=> Positive Treatment =>

- High Confidence
- High Morale
- Continuous Increasing Initiative =>

Continuously increasing contribution to the Goal

Why Employees Resist Change?

Unaware of Need for Change

Completely State it => 57% | Not Completely => 38% |No => 5%

Implementation of a strategic plans introduces change which sometimes exposes the psychological insecurity of employees. For example.....

People feel Comfortable with their Existing Environment

लोगों को अपना मौजूदा माहौल आरामदायक लगता है

- Psychological Insecurity - मनोवैज्ञानिक असुरक्षा
- Would I Lose My Job? - क्या मेरी नौकरी चली जाएगी?
- Would My Duties Change? - क्या मेरी जिम्मेदारियां बदल जाएँगी?
- Would I Lose My Privileges? - क्या मेरे विशेषाधिकार ख़त्म हो जायेंगे?
- Would Resources Be Diverted From My Unit to Other? - क्या अब मेरी टीम का नेतृत्व कोई और करेगा?
- Would I Have to Learn New Skills? - क्या मुझे नए कौशल सीखने पड़ेंगे?
- Would I Get Adequate Support From Top Management? - क्या अब मुझे उच्च अदिकारियों का पर्याप्त समर्थन मिलेगा?

Change / No Change

Change

- Benefits to the Company Benefits to the Individual
- Time and Effort Personal Risks

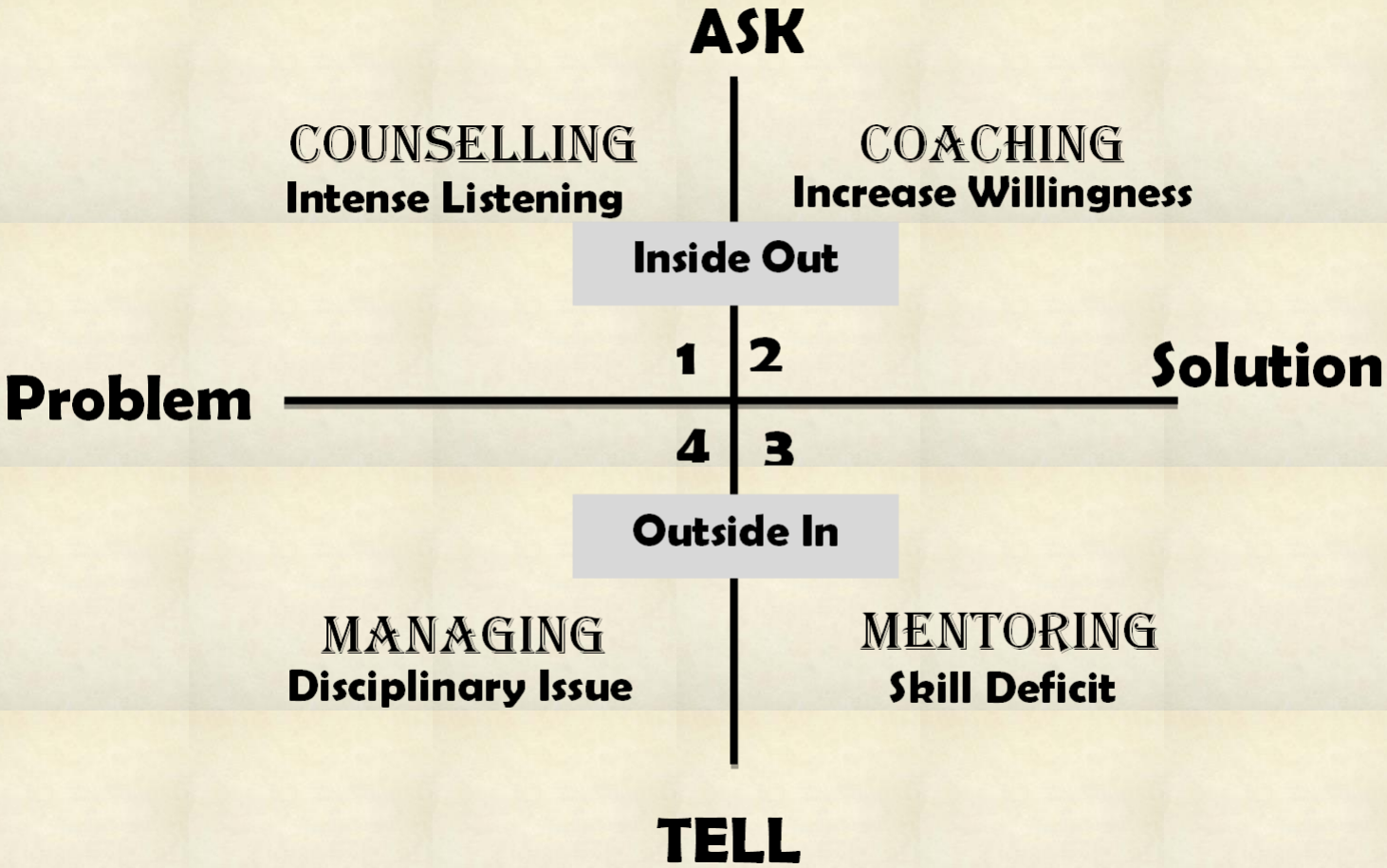
No Change

- Comfort Zone Expertise with Current Setup
- Problems with Current Setup Negative Personal Consequences

	+	-
Change	Benefits to the Company Benefits to the Individual	Time and Effort Personal Risks
No Change	Comfort Zone Expertise with Current Setup	Problems with Current Setup Negative Personal Consequences

10. Coaching for Non-performers

Establishing a Feedback System - Ask - Tell Model



Golden Rules Coaching Mentoring

1) When you are Managing your Employees you are Actually Damaging your Employees
2) When you tell about the problem, it reduces inspiration and motivation. It is Killing his Ownership, Initiative, Responsibility
3) Don't tell a solution if he already knows the solution.
   This works only in Skill Deficit Issue
4) Inside Out Creates Inspiration, Outside In Kills Inspiration
5) Coaching is a process of asking solution oriented questions

1) **KOPSA**
   Know Your Answer | Open Ended Question | Paraphrase Each Answer | Add Your Own Point
2) **CROPA**
   Current Reality | Outcome | Purpose | Action Plan
3) **GROW**
   Goal | Reality | Options | Way Forward
4) **TROW**
   Topic | Goal | Reality | Obstacles /Options | Way Forward

11. Follow Executionable Frameworks

ARROW

A => Aim | R => Reality | R => Reflection | O => Options | W => Way Forward

ARROW Framework - Week 1

1) Who Do You Envision Yourself as Becoming? Write Down Three Specific Qualities You Would Like to Learn From Him.
2) Write Down Your Specific Short-Term and Long-Term Goal.
3) What Would Be The Milestones On The Way To Achieving Your Goal? How Will You Measure Them?
4) What Is Your Current Reality? Where Are You Right Now?
5) What Actions Have You Taken Till Now?
6) Why Haven't You Reached That Goal Already? What Do You Think Was Really Missing
7) Rate yourself on a scale of 1-10. Where Are You At The Moment wrt Your Goal
8) Think & Write Names Of 3 People Around You Who According To You Have Achieved Similar Goal
9) Make Your Own DILO (Day In Life Of). Write Down Your Schedule Of An Average Day
10) Identify Your Signature Strengths That Can Contribute To Your Goal Statement
11) Write Down The Signature Strengths That You Are Not Using At The Moment

12) What Has Contributed To Your Success So Far? What Has Worked Well For You So Far

ARROW Framework - Week 2

1) What is Your Mighty "Why"?
2) What 5 Benefits Will You Get, If You Achieve Your Goal
3) What Will You Lose, If You Don't Achieve Your Goal
4) How Important is This Goal? Rate Yourself on a Scale of 1-10
5) Write Down A Laundry List Of New Ideas, You May Implement
6) Select The Best Five Out Of Your Laundry List
7) Which Forms Of Average Mentality In Behavior You're Going To Quit Today?
8) Who Can Actually Help You In Achieving This Goal
9) What Are Your Top 3 Priorities For Next Six Months
10) Create Your Revised Schedule Of An Extraordinary Day

Framework to Reduce COCA

Calculate your Current Cost of Customer Acquisition

(Marketing Cost + Advertisement Cost + Staff Salary Cost)

COCA = (Cost of Sales + Cost of Marketing) /New Customers Acquired

Which of the Following Ways will you choose to reduce your Cost of Customer Acquisition

1) Technology Automation
2) Digital Automation
3) Testimonial Route
4) 10X your Content Marketing
5) Training Programs to Improve Conversion
6) Build Scarcity with Limited Edition Product
7) User Experience
8) Technology Automation
9) Client Loyalty Program
10) Attention on Retention
11) Strategic Partnership (Partner with Influencers)
12) Lead Flow and Conversion
13) Decoy Pricing
14) Prioritize Appropriate Audiences
15) Bundling Approach
16) Reverse Funnel (Reference)

17) Any other...

Framework for Product Pricing

Which of the Following is your Current Pricing Model?

1) Milking or Skimming (High Low Pricing)
2) Premium / Psychological
3) Loss Leading
4) Anchor/Charm Pricing
5) Break Even Pricing
6) Bundle Pricing
7) Quantification of Value Creation
8) Predatory pricing/ Pricing Barrier/ Penetration
9) Pricing- Temporary
10) Cost Plus Pricing
11) Opportunistic Pricing
12) Competition Based pricing
13) Chinese Goods Pricing
14) Any Other..

Write 5 things about Your Current Pricing Model

15) Identify and Write Down your New Pricing Strategy (Model)
16) What 5 Changes will you bring to Your New Pricing Model
17) How will it Impact your Top Line?
18) How will it Impact your Bottom Line?

Framework on How to Increase your Business Turnover

Which of the following Strategies you will Select to Multiply your Turnover => Why and How?

1) Increase the No. of Customers in your Business
2) Increase the Average Ticket Size of your Business
3) Increase the Frequency of Transactions Per Customer
4) Increase the Price of your Product/Service
5) Add a New Product Line

Framework on Customer Experience

What's Your Score on Each One of the Following

Touchpoints? => Rate on a Scale Of 1-10, Where 1 Means Very Bad And 10 Means Excellent!

1) Product Touchpoints
2) Sales/Retail Touchpoints
3) Service (After Sales Service) Touchpoints
4) Communication Touchpoints (Branding and Marketing)

Transition to IPO

- ✓ Capital for Growth
- ✓ Investment in Technology
- ✓ Research and Development
- ✓ Marketing and Promotion
- ✓ Hiring and Training
- ✓ Working Capital
- ✓ Risk Mitigation
- ✓ Strategic Partnerships and many more...

Sources of Funding

1. Self Funding or Boot strapping

- ✓ Founder Uses Own Money To Run Business Reinvests Profits Back In Business
- ✓ Cons => Runs Out Of Money For Operations, Expansion Suffers

2. Debt/Loan

- ✓ Owner Needs To Pay Interest In Exchange Of Funds And Repay Amount
- ✓ Most Of These loans Come With High Interest (12-20%)
- ✓ Even With Bodies like NBFCs, They Provide Limited Capital And Require Above 700 CIBIL score

Overburden of Debt Happens Due To...

1. Desperate Borrowing

2. Margins Lesser then Hurdle Rate

3. Mismatch of Cash-flows

4. Aggressive Growth Without Margins

Debt is the Worst Enemy of a Businessman

If not Handled Properly,Debt can be equal to Death

Equity

The other option is raise funding by=>

Giving a percentage of ownership=> 1. Private Funding | 2. Public Funding

3. Private Funding

1. Private Investors=>

Blackstone | KKR | General Atlantic

2. VC Fund=>

Accel | Blume | Nexus | Kalaari

Cons of Private Funding=>

- ✓ Growth Expectations For Their Money And Exit
- ✓ Operational And Managerial Interference
- ✓ Can Change Business Vision

4. Public Funding

- ✓ Considered Most Profound Way To Get Funds.
- ✓ Raise Funds from General Public=> This Process Is Called IPO

IPO benefits

1) Access to Capital => Funds for growth & expansion
2) Unlocks Valuation Potential
3) Enhanced Credibility => Increased brand recognition and market exposure
4) Unlike Debt, No Servicing in Equity Funding
5) Provides an exit opportunity for founders and early Investors
6) Employee Benefits => Offer employee stock options and other benefits
7) Reduced Chances Of Company Become Insolvent
8) Customer Confidence => Listing helps build trust and confidence among customers and partners
9) Helps On-boarding of Anchor and Strategic Investors
10) M&A Opportunities =>Enables mergers and acquisitions to expand business

TOP 10 Blockbuster SMEs IPO in Recent Times

Name	Date	Issue amount (₹ cr)	Total times subscribed
HOEAC Foods India Ltd	May 16, 2024	5.1	1,963
Magenta Lifecare Ltd	June 24, 2024	6.64	1,003
Green Jitech Ventures Ltd	Apr 16, 2024	5.97	771
KayCee Energy and Infra Ltd	Dec 28, 2023	14.9	735
Koura Fine Diamond Jewellery Ltd	Mar 6, 2024	5.1	727
Kahan Packaging Ltd	Sept 6, 2023	5.4	714
Maxposure Ltd	Jan 16, 2024	19.03	697
Medicamen Organics Ltd	June 21, 2024	9.96	689
Slone Infosystemes Ltd	May 3, 2024	10.5	642

Key SME IPO Highlights

- ✓ 1073 Companies listed on SME exchange till date
- ✓ 321 Companies Migrated to Mainboard
- ✓ 16,323 Cr total funds raised on SME platform
- ✓ 2 Lakh Crore Market Capitalization

Eligibility Criteria For SME IPO

- ✓ Post Paid Up Capital Upto 25 Crores
- ✓ Positive EBIT => 2 Out Of 3 Previous Financial Year
- ✓ Net Tangible Assets => 3 Crore In Last Financial Year
- ✓ 15% Should be Underwritten By Merchant Banker
- ✓ Net Worth Should Be 1 Cr For 2 Previous Financial Years

Now assess your company =>

- ✓ Does it fulfill all the above mentioned Eligibility Criteria?
- ✓ If yes, then we move on to the First step
- ✓ Appoint Merchant Banker
- ✓ Due Diligence
- ✓ Draft Prospectus
- ✓ Approval From Exchange Board
- ✓ Marketing
- ✓ Draft Final Prospectus
- ✓ Launch& Execution
- ✓ Market Making
- ✓ Post -Issue Compliance

Step 1 => Appoint SEBI Registered Merchant Banker

- ✓ Improves Business Structure
- ✓ Brings Industry Connection and Networks
- ✓ Arranges Auditors, Legal Advisors, Registrar
- ✓ Does Company Assessment
- ✓ Provides Underwriting Services and Legal Compliances

Step 2=> Due Diligence

Preparation And Audit Of Financial Statements

- ✓ Income Statement => Revenue and Expenditure
- ✓ Balance sheet => Asset and Liability
- ✓ Cash Flow Statements => Cash Inflow-Outflow

Legal Compliances

- ✓ Assess Any Potential Legal Issues
- ✓ Intellectual Property | Compliance | Regulations

Step 3 => IPO Prospectus

- ✓ Initial Document Filed To Exchange boards =>
- ✓ DRHP (Draft Red Herring Prospectus) =>
- ✓ Contains =>
- ✓ Objective Of IPO | Company's Financial Performances
- ✓ Valuation | Risk | Future Growth Plans
- ✓ Merchant Banker Will Prepare And Submit This
- ✓ Prospectus To Exchange Board => BSE- SME

Step 4 => Getting Approval From Exchange Board

- ✓ Exchange Regulators will now review Draft Prospectus
- ✓ This Includes=>
  Site Visit | Company Documents And Records Review | Invite Promoters For Meetings And Discussions

Post Review =>

- ✓ Gives directions if any changes needed
- ✓ Make the changes and file again =>
- ✓ And Company Gets Approval Certificate

Step 5 => Market The IPO

- ✓ Goal is to Attract Potential Investors
- ✓ Merchant Banker Will Conduct=>

Roadshows | In-Person Meetings with Anchor Investors |
Advertising | Networking | Online Marketing Campaign

Step 6 => File Final Prospectus With ROC

- ✓ ROC => Registrar Of Companies
- ✓ Called Red Herring Prospectus

This Includes IPO Details Like=>

- ✓ Updated Information | Indicative Time | Issue Size
- ✓ Issue Price | Audited Financial Statements
- ✓ Due Diligence Certificates | Valuations

Steps 7=> IPO Launch and Execution

- ✓ Subscription Period => Open a window for Investors To Purchase Shares In Company
- ✓ Allocation Process =>
  Registrar determines how many shares will be allocated to each investor based on pre-defined factors
- ✓ Investor Type (Retail, QIB, HNI) | Subscription Amount | Employee Allocation
- ✓ Allotment and Refunds =>
  Registrar Issues allotment letters to successful applicants and processes refunds for unsuccessful ones
- ✓ Listing on Stock Exchange =>
  The company's shares start trading on the chosen stock exchange

Steps 8=> Market Making

- ✓ Providing Liquidity =>
  Ensure there are always buyers and sellers willing to trade a particular stock
- ✓ Reducing Volatility =>
  Stabilize prices by maintaining constant presence in market

Steps 9 => Post-IPO Compliance and Disclosure

- ✓ Shareholder Communication=> Address shareholder inquiries
- ✓ Continuous Disclosure =>
  Disclose material information to the public in a timely manner
- ✓ Investor Presentation | Half Yearly & Annual Results
- ✓ Eligibility For Migration from SME => Mainboard
  - Market Capitalization Should be Minimum 25 Crore
  - Net Worth => Minimum 15 Crore in Last 2 Years
  - Positive EBIT => 2 Out Of 3 Previous Financial Years
  - Should be Listed on SME For Minimum 3 Years
  - Minimum 250 Public Shareholders in Shareholding Pattern

Bada Business Initiative=> Idea to IPO

About the Initiative

- Partner with Selected companies to Propel their business towards Lucrative Growth and Profitability
- Steering these entities towards an Initial public Offering (IPO) within a 30-month Horizon

Value Creation Through IPO

- Opportunity to Build Wealth
- Authenticity and Credibility Establishment
- Streamlining Business, Process, Internal Control, SOPs

Selection Parameters

- Founder's Profile
- Business Opportunity
  Product | Industry | Growth Plans | Usage of Funds
- Financials => REVENUE | MARGINS
- Packaging - Vision & Growth Story by Promoter to Investors

Partnership Deliverables

- Branding, Promotion & Marketing
- Full Case Study
  1. Exclusive Promotion of Branding by Dr Bindra
  2. To be published on Social Media Pages of Dr Bindra

Story / Reel / Article / Posts

- 1 Post per Month across 10 social media platforms of Dr. Bindra and Bada Business
- Promoting client's own social media platforms via Digital Collaboration through the posts on Bada Business Platform

Positioning Client Brand in Bada Business Events

- Stage Presence of Founder for 2 - 3 minutes
- Logo Branding in Events Collaterals
- Logo Branding of Client done by Bada Business on Dr. Bindra's Social Media Pages
- Space for Stall (6 ft x 6 ft)
- Founder / Team to attend such Events (Numbers to attend to be mutually decided)

Special Support

- Dedicated Key Account Manager
- Subject Matter Experts / Vendors for various 2 Business Functions
  HR | Digital Marketing | Finance | Investment Banker

Business & Financial Review

- 1 Monthly Review System | Improvement Cycle

Dr Vivek Bindra's Seminar

- Digital Seminars by Dr Vivek Bindra for In-House Team and or Potential Prospects (3-4) OR 1 Physical Event

Other Valuable Deliverables

- Vendor
- Accelerator Services
- Merchant Bankers
- Bollywood Brand Ambassador
- Investors

Key Account Manager (KAM) = Growth Partner Qualification & Experience

MBA - Finance /CA / CFA

- Investment Banking +
- Business Acumen +
- Entrepreneurial

Role of KAM

- Work in Collaboration with the Founder as a Growth Partner to the Business
- NNB Philosophy: Data Analysis => Improvement Cycle
- Identify Growth Drivers & Cost Optimization Levers
- Strategize Revenue Trajectory=> Expand Current Streams & Plan Additional Streams
- Identify Growth Requirements & Introduce Multiple Appropriate Vendors
- Make the Company IPO Ready
  Compliances | Financial Model | Build the Story
  Streamline & Build Processes

Vendor Services - TECHNOLOGY & SOFTWARE

- HR: Payroll | Attendance | Leave | Recruitment | Performance Management | CRM
- Billing & Invoicing : POS / Medical / Pharmacy/ Retail/ Restaurant / Utility
- Financial Management : Accounting / GST / Asset Management /Income Tax/Treasury / Procurement
- Productivity Measurement Software
- Data Back-up | Data Analytics

Vendor Services - TECHNOLOGY & SOFTWARE

- Digital Marketing:
- SEO / Content Management / Social Media Analytics
- Online Reputation Management
- Cyber Security
- Visitor Management
- ERP Implementation
- Website Development
- App Development

Vendor Services – Marketing & Branding

- Content Writer
- Production House
- Ecommerce- Product Listing
- Public Relations
- Franchise Acquisition
- Logistics
- ORM

Vendor Services - Consultancy

- Franchise Development Program
- Finance Consultant / Advisory
- Investment Banker

- Lawyer
- HR Consultant
- Supply Chain
- Real Estate
- Architect